Corporate Governance, Ethics & Regulatory Frameworks

What will we cover today?

- ❑ **Corporate Governance** under the Lens
- ❑ **Principles** for building the trust in Governance
- ❑ Governance Beyond Compliance: **Culture, Ethics & Value Creation**
- ❑ **Best practices** for enhancing corporate governance
- ❑ **Regulatory frameworks** covering global and Indian governance standards

Expected outcomes from this session

- ❑ **Interpret** core principles of corporate governance and apply them to board-level decision-making
- ❑ **Compare** global and Indian governance frameworks to strengthen compliance and strategic oversight
- ❑ **Analyze** Global best practices and benchmarks to strengthen governance within organizations
- ❑ **Integrate** governance with strategy and value creation for long-term stakeholder impact

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Corporate Governance under the Lens

Corporate Governance: What it means?

Cadbury Report

Corporate Governance is the system by which companies are directed and controlled.

Organization for Economic Co-operation and Development

Corporate governance defines how a company is directed and managed in relation to its shareholders and stakeholders. Strong governance builds trust, transparency and accountability, encouraging long-term investment, financial stability, and sustainable growth.

World Bank

Corporate Governance refers to the system that ensures companies, owners and regulators are accountable, efficient and transparent, building trust and confidence.

Securities and Exchange Board of India

Corporate governance is about management respecting shareholder rights and acting as trustees. It promotes ethical conduct, value-driven decisions and a clear line between personal and corporate interests.

Global Governance Models - One size Doesn't fit All

Areas	Anglo-American Model	Continental European Model	Hybrid Model
Focus	• **Shareholder primacy** and maximization of shareholders' value	• Balancing interest of shareholders, employees and other stakeholders	• Pre-dominantly follows Anglo-American Model, but moving towards stakeholder approach
Board	• **One-tier Board** with executive and non-executive director	• Two-tier Board Structure (Supervisory and Management Board)	• One-tier Board with executive and non-executive director
Key Features	• **Strong protection** of shareholders' rights • **Dispersed ownership** • Emphasis on **market-driven control** (M&A, takeovers)	• Strong role of Banks and state in corporate ownership • Employee representation on Boards • Greater regulation and stakeholder involvement	• Focus on shareholder's value along with stakeholders' interest such as CSR, ESG etc.
Countries (Examples)	United States, United Kingdom, Canada, Australia etc.	Germany, France, Netherlands etc.	India

Corporate governance influence across stakeholder groups | Global

Shareholders / Investors

Safeguards rights, ensures fairness, and provides timely financial updates

Board of Directors

Guides strategy, oversees leadership and ensures legal & ethical compliance

Executive Management

Implements board strategy, handles operations and upholds ethical standards

Workforce

Promotes fair employment, safe conditions and professional growth

Consumers

Delivers quality, honest communication and fair pricing

Suppliers & Third-Party Vendors

Follows transparent procurement and supports responsible sourcing

Public Authorities & Regulators

Ensures legal compliance and aligns with national economic goals

Communities & Public

Supports social good, sustainability and fulfills CSR duties

Engagement Round

Knowledge Checkpoint

Corporate Governance – Impact beyond the Boardroom

A company has policies on safety and ethics, but senior leaders continuously ignore them and pressure employees to meet targets at any cost. What is the root issue?

1 Lazy employees

2 Poor productivity

3 Bad corporate governance

4 Lack of technical skills

Correct Answer : C. Bad corporate governance
(When leadership's conduct contradicts policy, its, a governance failure)

Corporate Governance – Impact beyond the Boardroom

Which Governance model strongly incorporates **employee representation on Boards**?

1. Indian Model
2. Anglo-American Model
3. Continental European Model
4. Hybrid Asian

Correct Answer: Continental European

Corporate Governance – Impact beyond the Boardroom

Which group is responsible for **overseeing management and ensuring compliance with laws and ethical standards?**

1. Shareholders
2. Employees
3. Board of Directors
4. Community

Correct Answer: Board of Directors

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Principles for Building Trust in Governance

Four Principles that drive Governance excellence

	What it means?	Why it matters?
1 Accountability	Leaders must explain and own their actions.	Builds trust by ensuring results are measured and decisions justified.
2 Transparency	Timely, clear sharing of important company information.	Enables informed decisions and prevents misconduct through open reporting.
3 Responsibility	Knowing your role, owing impact and acting with integrity	Promotes ethical conduct and alignment with stakeholder interests.
4 Fairness	Ensures equitable, impartial and just treatment of all stakeholders.	Builds confidence by protecting minority rights and preventing conflicts of interest

Accountability

Corporate Governance | Accountability | Key Drivers

Delegation of Authority

- Delegate decision-making of board and senior management
- Clarifies roles, responsibilities, and accountability
- Ensures efficiency while retaining ultimate responsibility at the top

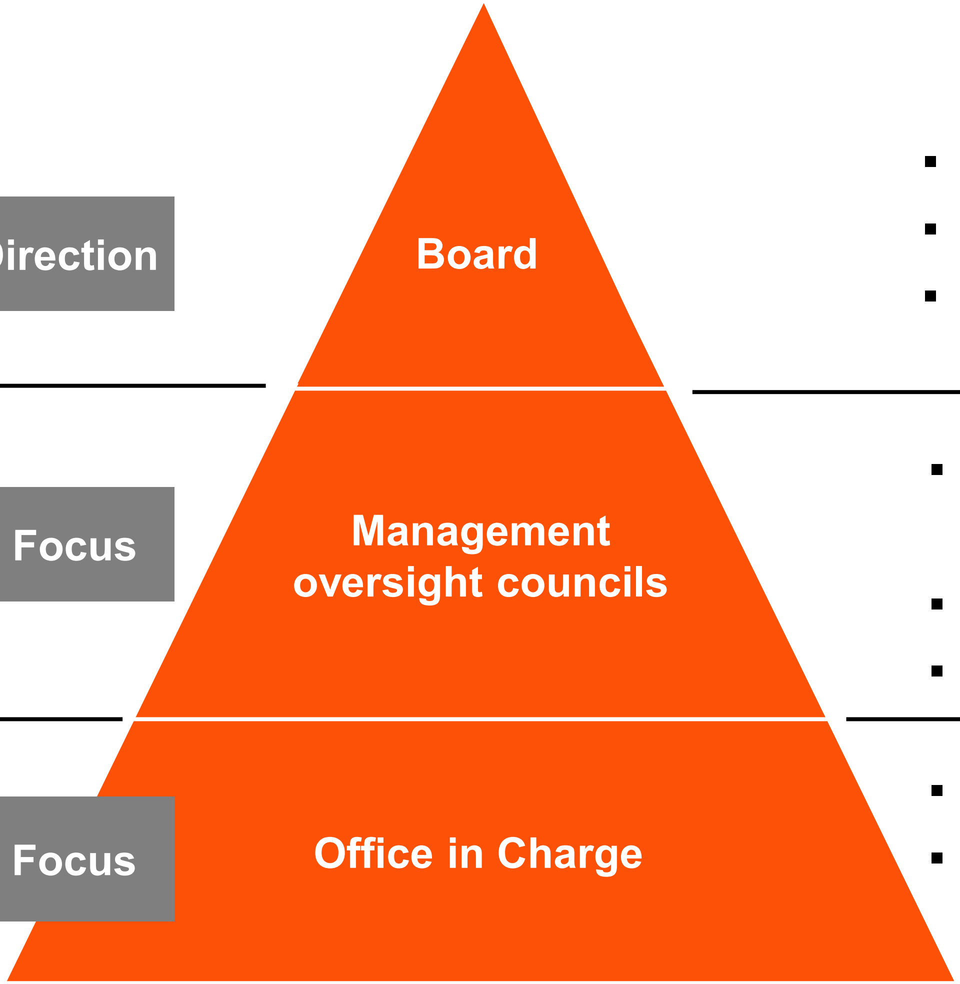
Board Committees

- Sub-group of the Board formed to focus on specific areas like audit, remuneration, risk etc.
- Supports the Board by reviewing matters in detail and making recommendations
- Improves governance through specialization, faster decisions and better oversight

Board Evaluation

- Reviews board, committee, and director performance
- Assesses decision-making, compliance, and governance practices
- Identifies strengths and areas for improvement to enhance accountability

Accountability | Delegation of Authority



Strategic Direction (Board)

- **Provide strategic guidance** to management
- Ensure effective **governance and monitoring**
- **Policy decision-making** and implementation guidance

Oversight Focus (Management oversight councils)

- **Oversee and manage** the reported non-compliances and remediation plans across key risk areas
- **Assess operating effectiveness** of the established policies
- **Periodic monitoring** through incident-based reporting mechanism

Operative Focus (Office in Charge)

- Adherence to function-specific **Standard Operating Procedures**
- **Focus** on day-to-day **execution, monitoring and compliance at transactional level**

Accountability | Board Evaluation

Performance Rating Scale

1	Outstanding
2	Exceeds Expectations
3	Meet expectations
4	Needs improvement
5	Poor

Particular	Rating
Assessment of Whole Board	2
Assessment of Risk Management Committee	3
Assessment of Operation Committees	2
Assessment of Technology Committees	2
Assessment of Ethics & Compliance Committees	3
Assessment of Chairman – Mr. A	2
Assessment of Executive Director – Mr. B	1

Parameters for Board Evaluation

Board Composition and Structure

- Skills & Experience, Board Size
- Diversity & Independence
- Committee Structure

Board Processes and Effectiveness

- Meeting Effectiveness
- Information Flow
- Strategic Oversight
- Communication & Culture
- Compliance

Individual Director Performance

- Contribution
- Attendance
- Understanding Business
- Fiduciary Duties

Other Areas

- Operational Excellence
- Internal Control & Audits
- Technology Investment

Transparency

Corporate Governance | Transparency | Key Drivers

Policies

Set governance standards, align with laws and promote accountability

Technology

Enables real-time data access, improves transparency and tracks compliances

Disclosures & Communication

Ensure clear, timely stakeholder updates and reduce misinformation

Standard Operating Procedures

Convert policies into daily actions, supporting clarity & compliance

Board Training

Builds legal & ethical awareness for informed board decisions

Transparency | Technology

Real Time Monitoring
Automated dashboards & digital tools enable live compliance tracking

Secure Data Management
Ensures confidentiality, integrity of Company Information

Easy Stakeholder Access
Digital Board Portals etc. allow seamless access to Governance data for directors & auditors

Improved Decision Making
AI-enabled analytics offer insightful trends, risk flags and planning for effective Board Discussions

Streamlined Processes
Automates policy approvals, meeting scheduling, disclosures and RPT Approvals- reducing human errors

Digital Governance Assets

- Related Party Tool
- Insider Trading Tool
- Board Evaluation Tool
- Board Maturity Assessment Tool
- Risk & Compliance Tracker Tool
- ESG Disclosures Tool
- Board Meeting Management Tool
- Secretarial Automation Tool

Responsibility

Corporate Governance | Responsibility | Key Drivers

Environmental Social and Governance

- Aligns business goals with sustainable practices
- Supports long-term value beyond profits
- Strengthens board focus on climate, DE, ethics
- Enables transparent ESG reporting
- Helps mitigate risks through ethical conduct
- Board oversees ESG risks and disclosures

Corporate Social Responsibility

- Integrates social and community goals with business strategy
- Promotes ethical behavior and responsible corporate citizenship
- Focuses on inclusive growth, diversity and community welfare
- Strengthens corporate reputation and stakeholder trust
- Demonstrates long-term commitment to social and environmental impact

Stakeholder Engagement

- Reflects responsible leadership through active engagement
- Aligns decisions with stakeholder interests
- Encourages transparent and inclusive dialogue
- Manages ESG and reputational risks
- Reinforces board's duty to all stakeholders

Fairness

Corporate Governance | Fairness | Key Drivers

Whistle-Blower Mechanism

A confidential and secure channel provided by the Company for employees, vendors or other stakeholders to report unethical practice, misconduct, fraud or violations of laws, policies or codes of conduct without fear of retaliation.

Board Diversity

Board Diversity refers to the inclusion of individuals with different genders, age, groups, ethnicities, professional backgrounds, geographies and perspectives in the Company's board of directors

Stakeholder Grievance Mechanism

A formalized system that allows stakeholders (shareholders, employees, customers, vendors, communities, etc.) to submit concerns, complaints or grievances and receive timely, transparent and just resolution

Real-world Governance Dilemmas- What would you do?

Match the Principles: **A-** Accountability, **B**- Transparency, **C**- Fairness, and **D**- Responsibility with the following scenarios:

The Board doesn’t review audit or risk reports properly	1
Financial or compliance data is delayed and not disclosed properly	2
The company hides information about climate or safety risk	3
Only men or people from one background are chosen as directors	4
Investors ask questions, but the company doesn’t respond on time	5
Minority shareholders are not consulted before a major restructuring decision	6

Real-world Governance Dilemmas- What would you do?

Correct Answers ✓

The Board doesn't review audit or risk reports properly	1	Accountability	A
Financial or compliance data is delayed and not disclosed properly	2	Transparency	B
The company hides information about climate or safety risk	3	Responsibility	D
Only men or people from one background are chosen as directors	4	Fairness	C
Investors ask questions, but the company doesn't respond on time	5	Responsibility	D
Minority shareholders are not consulted before a major restructuring decision	6	Fairness	C

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Governance Beyond Compliance: Culture, Ethics & Value Creation

Activity | Boardroom Leadership Qualities

Which quality would you value in your fellow Directors?

- Integrity
- Collaboration
- Courage to speak up
- Strategic vision
- Governance Mindset
- Mentorship

An interactive dive into how governance principles play role in Boardroom

Scenario: The Board of XYZ Ltd. is considering acquiring a Company. The CEO is enthusiastic, but some Directors have concerns about the due diligence process and the potential risks. The Board Meeting is tense, with differing opinions on how to proceed.

CFO reveals that some financial data about the target company is incomplete, but the CEO suggests moving forward quickly to outpace competitors.

What should the Board do to uphold the principle of transparency?

A. Proceed with the acquisition and fill in the missing data later.

B. Insist on full disclosure and review of all financial data before deciding. ✓

C. Rely on the CEO's judgment and move forward.

Post the acquisition, it was discovered that the target company had significant undisclosed liabilities. The Board is now facing shareholder criticism.

How should the Board demonstrate accountability?

A. Blame the Top management.

B. Acknowledge the oversight, communicate openly with shareholders, outline steps to prevent recurrence. ✓

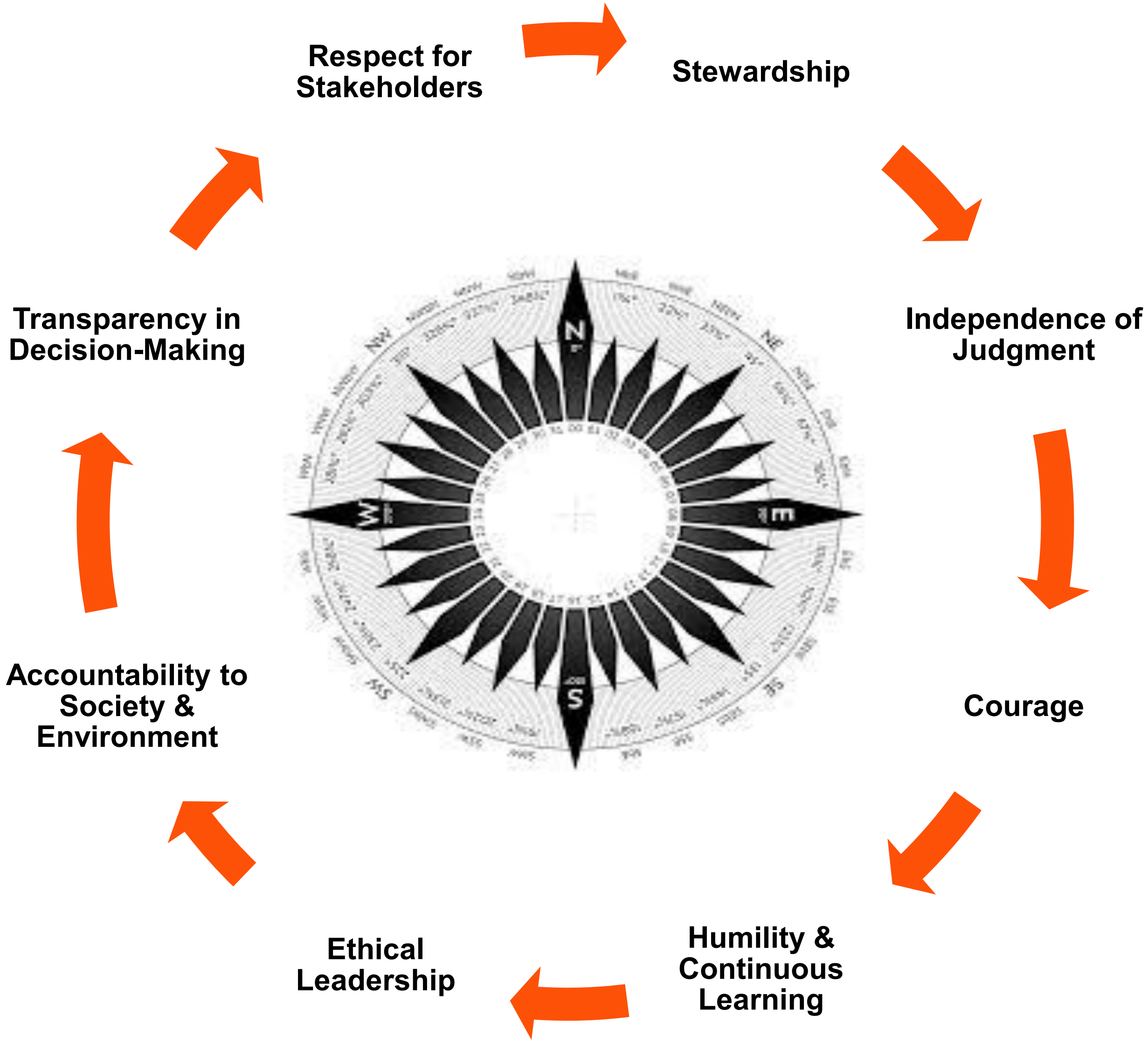
C. Ignore the criticism.

Director’s Ethical Compass

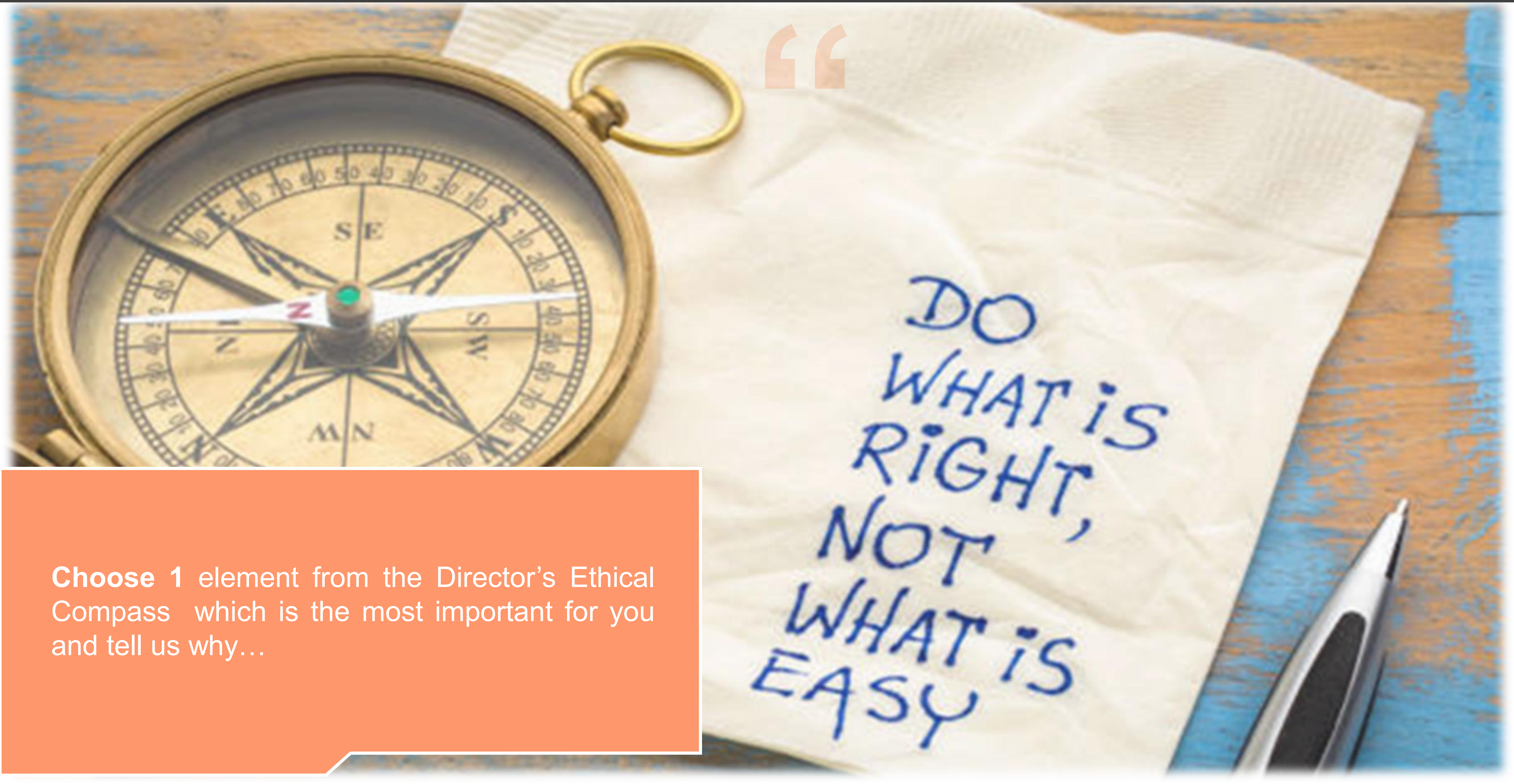
Director’s Ethical Compass: The Ethical Core of Corporate Leadership

A Director’s Ethical Compass is the framework of ethical values, integrity standards, and moral reasoning that guides Directors in fulfilling their fiduciary duties.

Key Elements



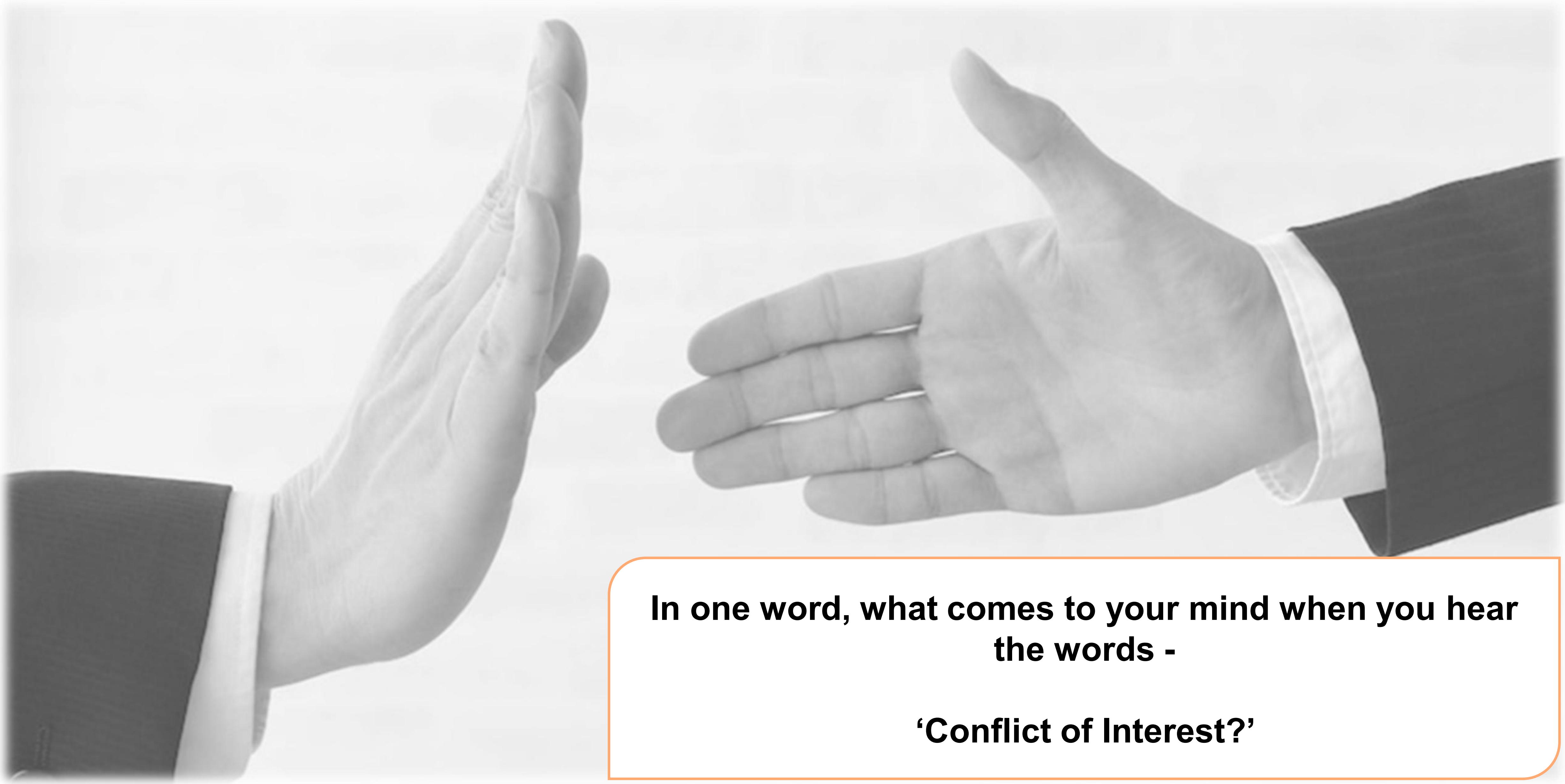
Activity | Director's Ethical Compass | Pick & Defend Round



Choose 1 element from the Director's Ethical Compass which is the most important for you and tell us why…

Understanding Conflict of Interest

Activity | Understanding Conflict of Interest



In one word, what comes to your mind when you hear the words -

'Conflict of Interest?'

Understanding Conflict of Interest in the Boardroom

Let us understand Conflict of Interest and take the right Governance move!

Financial Conflict
Occurs when a Director has a direct or indirect financial interest in a transaction, contract, or decision that the Board is considering.

Scenario: A Director owns 20% in a logistics company bidding for the Company's shipping contract.

→ Director must declare the interest and abstain from voting/decision-making.

Personal Conflict
Happens when personal relationships or family ties influence—or appear to influence—a director's professional judgment.

Scenario: A Director's relative applies for a senior management role in the same company.

→ Recruitment must be handled independently, with the Director excluded from process.

Use of Insider Information
Refers to exploiting confidential, price-sensitive company information for personal gain, commonly known as insider trading.

Scenario: A Director learns that the financials are positive & attempts to buy shares before the news is public.

→ This is insider trading – strictly prohibited under law.

Strategic role of Board in shaping Sustainable Value Creation

Strategic Role of Board in Shaping Sustainable Value Creation

Sustainable Value Creation

Sustainable value means creating economic value while also considering ESG factors.

How Boards demonstrate it?

The Board ensures that sustainability is **embedded into the business model** → by setting ESG goals, integrating sustainability into financial planning, developing stakeholder communication framework and stringent policy approval mechanisms.

Global Framework driving value creation through Corporate Governance Principles

Accountability	Transparency	Responsibility	Fairness
OECD Principles of Corporate Governance	ISSB-IFRS S1 & S2 (sustainability related disclosures)	UN SDGs (Sustainable Development Goals)	UN Global Compact
UK Corporate Governance Code	GRI Standards (Global Reporting Initiative)	COSO–ERM Framework	ILO Standards (International Labour Organization)
ISSB-IFRS S1 & S2 (incorporates TCFD recommendations)	Integrated Reporting Framework (Managed by IFRS Foundation)	OECD Due Diligence Guidance for Responsible Business Conduct	EU Gender Balance Directive

Why it matters: Stakeholders now expect companies to go beyond profits, addressing issues like climate change, inclusion, human rights, and responsible business conduct.

Impact of strong Boardroom oversight in Sustainability on ESG ratings

91 Companies - Morningstar's Best Sustainable Companies to invest in 2026

Companies earned "Negligible" or "Low" ESG Risk Score (0.00-9.99 & 10.00–19.99).

These Companies showed:

- Strong Board governance over ESG risks.
- Long-term resilience and competitive advantage.
- High stakeholder trust due to proactive ESG management.

UK-based – Information Analytics Provider

- Sustainalytics assigns **8.11** ESG Risk score to this Company indicating **Negligible Risk** as per Morningstar's ESG Risk Rating Assessments.
- Morningstar gave a Strong ESG Risk Rating (**5 globes**) for the reasons sited below:

i. The CEO reports ESG strategy updates to the Board and engages senior managers on ESG issues.

ii. The Board's Audit committee oversees ethics, anti-bribery, fraud prevention, and corruption controls.

US-based – Life-sciences diagnostics innovator

- Sustainalytics assigns this Company **8.95** ESG Risk score indicating **Negligible** Risk as per Morningstar's ESG Risk Rating Assessments.
- Morningstar gave a Strong ESG Risk Rating **(5 globes)** for the reasons sited below:

i. The Board actively oversees ESG strategy, integrating it into core business operations.

ii. Company's robust product and service safety programs include mandatory employee training.

Source: https://www.morningstar.com/sustainable-investing/best-sustainable-companies-own-2026

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Best Practices for Enhancing Corporate Governance

Corporate Governance Strength - India & Global benchmarks and best practices

An Indian MNC - global leader in IT services

- **Stakeholder Engagement**: Regular interaction with diverse stakeholders to identify a broad funnel of issues important to each of the constituencies
- **Enterprise Risk Management :** Applies a comprehensive approach to manage strategic, financial and operational risks
- **ESG Integration :** Recognized for strong ESG performance, reinforcing commitment to sustainability, transparency and governance

A British MNC - a global leader in consumer goods

- **Global Board Model**: Operates boards in both UK & Netherlands for diverse oversight.
- **ESG Integration**: ESG is central; focus on climate, nature, plastics and livelihoods
- **Transparency & Disclosure:** Public Policies (Board Diversity, Board Workforce Engagement Policies) are published. The Company keeps its policies, AoA etc. accessible.

An Indian MNC - global leader in next-generation digital services

- **Board Diversity**: Mix of financial, global business, diversity, leadership, IT, M & A, Board service and governance, sales and marketing, ESG, risk management and cybersecurity on the Board.
- **Board Trainings**: Induction Program for NEDs. Topics covered such as Gen AI & Risk Management, Governance & crisis management, ESG etc.
- **Multiple Strong Board Committees:** Audit, NRC, SRC, CSR, ESG, Risk Management, Cybersecurity largely or fully independent directors

Corporate Governance Strength - India & Global benchmarks and best practices

An American multinational technology conglomerate

- **Shareholder engagement:** Conduct regular shareholder engagement, including votes on executive pay and climate progress (Say-on-Pay)
- **ESG Integration** : The Company ties ESG goals to executive pay and ensures senior-level oversight. Targets carbon negativity by 2030 with third-party verified ESG reports.
Strong DEI (Diversity, Equity, and Inclusion) governance is maintained dashboards.

An Indian Fortune 500 company – a leader in energy, petrochemicals, natural gas, etc.

- **ESG integration:** The Company's governance framework establishes a structured process for developing and implementing a comprehensive sustainability agenda, ensuring effective decision-making in this critical area.
- **Board Governance:** Its leadership is guided by a diverse and experienced 14-member Board, ensuring strategic direction and effective governance.

A Swiss-based MNC - largest food company in the world

- **Corporate governance structure:** Comprehensive structure including a clear division of responsibilities between the board and management.
- **Stakeholder engagement:** The company regularly engages with stakeholders and provides detailed disclosures. Has a commitment to strong ethical culture with a Speak-up platform for its stakeholders.

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Regulatory Frameworks: Indian and Global Governance standards

India’s Regulatory Framework

India’s Corporate Governance framework is built on strong regulations ensuring **accountability**, **transparency** and **stakeholders’ protection**

Companies Act, 2013	SEBI (LODR) Regulations, 2015	Secretarial Standards
Lays the legal groundwork by defining board roles, independent directors, committees, disclosures, and shareholder rights for transparent governance.	Mandates listed companies to follow fair practices in board composition, disclosures, related party transactions and investor rights.	Issued by ICSI to streamline board and general meeting procedure agenda, minutes, decision-making for greater transparency and effectiveness.

Key Regulatory Requirements | India

Board Composition

- Minimum directors: three for public, two for private, one for one-person companies.
- Listed & some unlisted public companies need at least one-third independent directors;
- Certain companies must have a woman director.

Board Committees

- Audit Committee (mostly independent) is required for listed and some public companies.
- NRC oversees appointments and pay.
- SRC addresses grievances.
- Top 1000 listed companies need a Risk Management Committee.

Board Meetings and Processes

- At least four meetings yearly, max 120 days apart.
- Quorum: one-third of directors or two, whichever is more.
- Keep and sign detailed minutes.

Disclosure and Transparency

- Timely disclosure of financials and key events.
- Annual report must cover governance and management.
- Key policies must be on the website.

Companies Act, 2013 and SEBI LODR, 2015

Shareholder Rights and Engagement

- Hold annual and special meetings.
- E-voting is compulsory for listed companies.

Director Duties and Liabilities

- Directors must act honestly and in the company's interest.
- They are personally liable for misconduct or non-compliance.

Ethics and Compliance

- Code of conduct is mandatory for leadership.
- Listed companies need a whistleblower policy.

Board Committees| India

	Audit Committee	Nomination & Remuneration Committee	Stakeholders' Relationship Committee	Corporate Social Responsibility Committee
Mandate	Listed Companies and Public Companies (meeting certain threshold)	Listed Companies and Public Companies (meeting certain threshold)	Listed Companies and every Company (exceeding certain no. of security holders)	Every Company (meeting certain threshold)
Composition	Minimum three directors, majority independent, with at least one having financial expertise.	Minimum three non-executive directors, majority independent.	Chairperson should be non-executive director	Minimum three directors, at least one independent.
Function	Oversee financial reporting, internal controls, audit process, and whistleblower mechanisms.	Identify and recommend candidates for directorship, evaluate board performance and determine remuneration policies.	Resolve grievances of shareholders, debenture holders and other security holders.	Formulate and monitor CSR policy and activities.

Other Committees formed as per SEBI LODR and best practices

- Risk Management Committee
- Finance Committee
- Vigil Mechanism/ Whistleblower Committee
- ESOP/Compensation Committee
- Ethics Committee

Global Regulatory Framework

UK Corporate Governance Code

- For Companies listed on London Stock Exchange and operates on "Comply or explain" model;
- Key focus is on board leadership, remuneration, shareholder relations

Companies Act, 2006

- Sets out Directors' duties & reporting and shareholder rights

Sarbanes-Oxley Act, 2002

- Stringent financial reporting, internal controls for corporate officers and Directors for listed companies resulting in enhanced accountability

Dodd-Frank Act, 2010

- Governance requirements on executive pay, whistleblower protection and risk oversight.

NYSE/NASDAQ Rules

- Focuses on Board independence, audit committees, codes of conduct.

Australian Securities Exchange Listing Rules

- Corporate governance principles and listing rules.

Corporations Act 2001

- Principal statute governing companies.

ASX Corporate Governance Principles and Recommendations

- Recommended for listed companies
- "Comply or explain" approach is followed

King Reports on Corporate Governance

- Internationally recognized for its robust corporate governance framework.
- Focuses on ethical leadership, sustainability, and a broader stakeholder approach than traditional financial-only models

Johannesburg Stock Exchange Rules

- Listing Requirements
- Financial & shareholding and Annual Reports disclosures requirements

While not strictly a corporate governance regulation, ***IFRS****, issued by the* ***International Accounting Standards Board (IASB),*** *sets global standards for financial reporting, which is a key component of transparency and accountability in corporate governance.*

Global Regulatory Framework

Canada Business Corporations Act

- Governs corporate structure, directors' duties, and shareholder rights.

Toronto Stock Exchange Rules and National Instrument 58-101

- Sets out board independence, committee structures and governance disclosure.

National Policy 58-201

- Establishes a “comply or explain” model for listed companies.

Singapore Companies Act

- Sets out legal requirements for company governance.

Singapore Exchange Listing Rules and Singapore Code of Corporate Governance

- Mandatory for listed companies under a “comply or explain” model
- Emphasis on independence, board diversity and risk management.

UAE Commercial Companies Law

- Primary statute on governance

ADX & DFM Exchange Rules and Securities and Commodities Authority Corporate Governance Regulations

- Appliable to listed companies
- Sets board structure, audit committee and reporting requirements.

Law on Enterprises

- Governs corporate governance, shareholder rights and board duties.

Law on Securities & Corporate Governance Code

- Applicable to public companies
- Focuses on board independence & responsibilities, internal control and risk management

Companies Law

- Defines corporate structures, directors’ duties, and shareholder rights.

Saudi Exchange (Tadawul) Rules and Corporate Governance Regulations

- Applicable to listed companies;
- Focus on board composition, committee roles and disclosure requirements

Global Regulatory Framework

OECD Principles

Ensuring the basis for an effective corporate governance framework

The rights and equitable treatment of shareholders

Institutional Investors, Stock Markets, and Other Intermediaries

Disclosure and transparency

The responsibilities of the board

Sustainability and resilience

Widely adopted as the foundation for national governance codes across major economies.

Organisation for Economic Co-operation and Development (OECD) Principles:
International benchmark guiding corporate governance globally; serving as a guidance and not mandatorily required to be adopted

Source: *OECD Corporate Governance Factbook 2025 (EN)*

Key Regulatory Requirements | Global

Board Composition

- Minimum independent directors required for public/listed companies.
- Gender diversity mandated.
- Mix of executive, non-executive, and independent directors required.
- Board size and composition aligned to regulatory and listing standards.

Board Committees

- Mandatory Audit, Nomination & Remuneration, and Risk Management Committees for listed companies.
- Independence required for Audit Committee members globally.
- Committees must meet minimum annual meeting and reporting thresholds.

Board Meetings and Processes

- Minimum number of annual meetings prescribed.
- Quorum and participation requirements mandated.
- Accurate and comprehensive minutes to be recorded and maintained.

Disclosure and Transparency

- Timely disclosure of financial results and material events.
- Annual corporate governance report required for listed companies.
- Key governance policies to be published on company's website.
- Strict rules on insider trading, market abuse, and related-party transactions disclosures.

Shareholder Rights and Engagement

- Voting rights at annual and special meetings.
- Electronic voting and virtual AGM facilitation mandated or encouraged.
- Protection and fair treatment of minority shareholders.

Director Duties and Liabilities

- Duty to act honestly, in good faith, and in the company's best interests.
- Personal liability for breaches of law, financial misstatements, and governance failures.
- Fiduciary duties are well-defined in common law and civil law jurisdictions globally.

Ethics and Compliance

- Mandatory Code of Conduct for Directors & Senior Management.
- Whistleblower policy and protections required/ strongly promoted.
- Anti-bribery, anti-corruption, and ESG compliance frameworks enforced across jurisdictions.
- Enforcement of penalties by regulators for non-compliance.

Covering laws of US, UK, EU, Australia, Canada, Singapore, UAE, Vietnam, South Africa and Saudi Arabia

Chairperson as Custodian of Ethical Standards

Role as a Chairperson of the Board	• Leads the Board on strategy, oversight, and governance. • Ensures effective agendas, timely information, and high-quality board discussions. • Maintains clear oversight–execution separation while engaging constructively with the Management. • Represents the Board with key stakeholders and promotes a culture of integrity and long-term value. • Manages conflicts, ensures recusals, and protects the independence of Directors.
Role of Chairperson of Board Committees	• **Audit :** Oversees financial reporting, internal controls, related party transactions. • **Nomination & Remuneration :** Handles succession planning, remuneration policy, and performance evaluation. • **Stakeholders Relationship :** Manages investor/shareholder grievances. • **Risk Management** : Oversees risk framework and alignment with overall strategy. • **Corporate Social Responsibility :** Oversees the policy, implementation, monitoring, and disclosures.
Role at Shareholder Meeting	• **Presiding officer:** Conducts and addresses the members at the General Meetings, ensures quorum, enables fair participation (including Q&A), clarifies agenda items, and oversees voting/poll procedures. • **Fairness and transparency:** Ensures equal opportunity, manages time appropriately, and confirms proper recording of proceedings and results.

Best Practices

Separation of Chair and CEO/MD role for listed entities.

The chair should be a non-executive/ independent with sufficient experience, and authority to lead the board effectively.

Regular engagement with independent directors to ensure robust challenge and oversight.

Interactive Activity on real life scenario

Case Study | Corporate Governance Failure | Healthcare sector

Background	What went wrong	Findings
○ A private health care and life sciences company, stated that its mission was to revolutionize medical labs testing through innovative methods of drawing blood, testing blood and interpreting the resulting patient data. ○ The Company pursued the development of technology to run clinical tests using tiny drops of blood instead of the vial-based samples as it would result in reduced human error and lowering healthcare costs. ○ The technology faced criticism for lacking peer review, being incapable of consistently producing accurate and reliable results. ○ Despite these concerns, The Management continued to promote this technology. Evidence later revealed that management had deliberately misled doctors, patients, and investors regarding the technology.	○ **False Technology Claims & Fraudulent Misrepresentation:** No formal scientific validation, no independent technology audits. ○ **Weak Board Oversight & Lack of Relevant Expertise:** High-profile board lacked medical/tech expertise; oversight was ineffective. ○ **Extreme Secrecy & Culture of Fear:** No whistleblower mechanism, no ethical hotline, hostile culture. ○ **Misleading Commercial & Patient Practices:** Lack of medical compliance & patient safety oversight.	○ **Criminal Charges:** • **Regulatory Authority and Enforcement Agencies** convicted the Founder & CEO, and the COO (also a member of Board and President) of defrauding doctors and patients and insurance companies. • **Healthcare Regulators** found serious deficiencies in Company’s labs; revoked licenses and banned senior executives from operating labs. ○ **Investor Losses:** Investors lost hundreds of millions. ○ **Company Collapse:** The Company ultimately ceased operations and was formally dissolved

Let's test your knowledge

Q1. What type of misrepresentation did Company make?

A. False technology claims and fraudulent misrepresentation without scientific validation ✓

B. Delayed regulatory reporting

C. Overuse of consultants

D. Lack of digital tools

Q2. What was the impact on investors?

A. Investors lost hundreds of millions ✓

B. They doubled their profits

C. Minor operational losses only

D. No losses reported

Q3. What should the board have done differently?

A. Constituted a technical advisory committee

B. Appointed directors with healthcare/biotech expertise

C. Strengthened whistleblower and audit mechanisms

D. All of the above ✓

Q4. Which governance reforms could have prevented the This scandal?

A. Independent board evaluation and periodic performance reviews

B. Strong internal audit and risk management framework

C. Strengthening medical compliance and patient safety oversight

D. All of the above ✓

Thank you

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Conclusion

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Corporate governance is a critical enabler of trust, transparency and accountability in organizations.

Governance goes **beyond compliance** – it shapes **culture, ethics, and sustainable value creation**.

Core governance principles helps in improving board-level decision-making.

A **comparative lens** on Indian and global frameworks strengthens compliance and oversight.

Global best practices offer benchmarks to elevate governance standards internally.

Governance must be **integrated with business strategy** to drive long-term stakeholder value.